

Tentative Rulings for August 31, 2026 Department PS2

**To request oral argument, you must notify Judicial Secretary
Molly Frabotta at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department PS2 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

COUNSEL AND SELF-REPRESENTED PARTIES ARE ENCOURAGED TO APPEAR AT ANY LAW AND MOTION DEPARTMENT TELEPHONICALLY WHEN REQUESTING ORAL ARGUMENTS.

For information and instructions on remote appearances via **ZOOM**, visit the court's website at [Riverside Superior Court-Remote Appearances](#)

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **161 644 5616**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVPS2302595	GRAY VS REVERSE MORTGAGE FUNDING	MOTION TO SPECIALLY SET HEARING FOR MSJ BY SAM CHANDRA

Tentative Ruling: No tentative ruling. Hearing will be conducted on Monday, August 31, 2026, 8:30 a.m.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2403909	PALM DESERT SENIOR SOFTBALL ASSOCIATION VS GARCIA	MOTION FOR SUMMARY ADJUDICATION ON 1ST AMENDED COMPLAINT OF PALM DESERT SENIOR SOFTBALL ASSOCIATION BY PALM DESERT SENIOR SOFTBALL ASSOCIATION, JAMES W. SEAVEY, VERA NORRIS

Tentative Ruling: Granted in part.

Granted in part as to Issue 1 only as to the Association. Granted as to Issues 10 and 11. Denied as to Issues 2 through 9, Issue 12, and Issue 13.

Moving party to provide notice pursuant to CCP 1019.5.

This is an action for legal malpractice. Plaintiffs Palm Desert Senior Softball Association (the "Association"), James W. Seavey, and Verna Norris (collectively, "Plaintiffs"), alleges that the Association hired Defendants Aaron F. Garcia and the Law Offices of Aaron F. Garcia (collectively, "Defendants") to represent them in the underlying case, *Palm Desert Senior Softball Association v. Senior Softball of Palm Desert*, case no. PSC2000536 (the "Underlying Case"). Plaintiff Seavey is the Secretary/Treasurer of the Association. Plaintiff Norris is Seavey's wife and served as the President of the Association.

Plaintiffs allege that trial was set for 6/23/23 and that Garcia failed to comply with the Local Rule 3401 pretrial steps. On 6/20/23, Garcia allegedly emailed Seavey: "I cannot wait any longer. I have to advise the court the case settled. I am going to put the date of settlement as of today." Garcia then filed a CM-200 notice of settlement on 6/21/23 with the "Unconditional Settlement of Entire Case" box marked, and dated the same for 6/20/23. Plaintiffs allege that no director or officer of the Association signed any settlement documentation before at least 6/29/23. Plaintiffs further allege that the 10/20/19 board minutes reserved any "final decree/decision" to the board's approval and the President's signature. After the trial date passed, Norris signed a settlement agreement on 6/30/23. Plaintiffs however argue that it was obtained only after Garcia had threatened to withdraw as counsel, without a board meeting discussion on the settlement, and after losing the 6/23/23 trial setting. On 11/20/23, the court dismissed the Underlying Case with prejudice. The court order recites: "Notice of Settlement filed. No compliance with Local Rule 3401 prior to trial."

The operative First Amended Complaint ("FAC"), filed 7/31/24, asserts: (1) breach of fiduciary duties by attorney; (2) frauds, misrepresentations, and deceptions; (3) extrinsic fraud on the court; (4) attorney's professional negligence; and (5) money had and received. Trial is set for 10/2/26.

Plaintiffs' Motion for Summary Adjudication

Plaintiffs move for summary adjudication of 13 issues. They are: 2 asserted issues of duty, the 1st cause of action as to liability and the existence of compensable harm, and 10 affirmative defenses. Plaintiffs argue that Defendants represented the Association in the Underlying Case, and so Defendants owed the Association fiduciary duties arising from the attorney-client relationship. Plaintiffs argue that the Association has final settlement authority and that Defendants lacked authority to file the settlement notice. In support, Plaintiffs submit Garcia's 6/20 email, Defendants' admission that no the Association director/officer had signed a settlement document before at least June 29, and the dismissal order citing both the settlement notice and Local Rule 3401 non-compliance. Apart from the above issues, Plaintiffs seek adjudication of the 1st cause of action (fiduciary breach) as to liability and compensable harm, while reserving calculation of damages for trial. Plaintiffs further seek adjudication against 10 affirmative defenses, arguing that Defendants' discovery responses have no facts, witnesses, or documents supporting the defenses. Plaintiffs assert that the 6/30/23 signature obtained while Garcia's withdrawal motion was pending is not ratification with knowledge of material facts, and that they did not authorize Garcia's CM-200 filing.

In opposition, Defendants argue that Plaintiffs improperly frame questions of breach and authority as "issues of duty." Defendants argue that Plaintiffs cannot seek piecemeal determinations of various "duties" rather than adjudication of an entire cause of action or affirmative defense. (CCP §437c.) Defendants argue that expert testimony is required regarding the alleged breach, that Seavey held himself out as the Association's sole decision-maker, while later authorized a settlement in principle, and procured Norris's signature. In support, Defendants rely on a 6/12/23 billing entry stating that Seavey told him to settle, an alleged mutual walkaway settlement, and Norris's later signature to argue for defenses such as authorization, waiver and estoppel, consent, ratification, comparative fault and unclean-hands, and ratification. As to the challenged affirmative defenses, Defendants also argue that their evidence shows sufficient facts.

In reply, Plaintiffs argue that the existence of the attorney-client relationship and scope of the resulting duties are questions of law. They argue that Garcia's belief is not the client's consent. Plaintiffs concede that *Paramount Petroleum Corp. v. Superior Court* may preclude Issue 3 as framed, but request that any denial rest solely on that procedural ground. Plaintiffs further argue that Defendants' opposition does not brief Issues 10, 11, or 13.

Summary Adjudication

"A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, [or] that there is no merit to a claim for damages. . ." (CCP § 437c(f)(1).) "A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (*Ibid.*) A plaintiff moving for summary adjudication bears the initial burden to prove each element of a cause of action or to show that an affirmative defense has no merit. (*Id.*, §437c(p)(1).) A moving defendant must show that one or more elements of each challenged cause of action cannot be established or that a complete defense exists. (*Id.*, §437c(p)(2).)

"Any doubts as to the propriety of granting the motion are resolved in favor of the party opposing the motion." (*American Airlines v. Sheppard, Mullin, Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1048.) It is improper for the court to weigh the evidence or determine the credibility on a motion for summary judgment or adjudication. (*Binder v. Aetna Life Insurance Co.* (1999) 75

Cal.App.4th 832, 840.) “Instead, the evidence most favorable to plaintiff must be accepted as true and conflicting evidence must be disregarded. The court must give ‘to the plaintiff[s] evidence all the value to which it is legally entitled, ... indulging every legitimate inference which may be drawn from the evidence in plaintiff[s] favor’ ” (*Stanley v. Richmond* (1995) 35 Cal.App.4th 1070, 1086.)

An issue of duty may be summarily adjudicated without disposing of the entire cause of action. (*Linden Partners v. Wilshire Linden Associates* (1998) 62 Cal.App.4th 508, 522.) By contrast, a court may not enter partial summary adjudication on the issue of liability, leaving damages to be tried at a later time. (*Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 243, [a decision on the issue of liability does not result in a judgment until the issue of damages is resolved.])

Requests for Judicial Notice (RJN)

Plaintiffs seek notice of 11 exhibits: filings and orders from the Underlying Case, the FAC and Answer in this action, the Association’s Articles of Incorporation, and the Association’s board minutes filed in the Underlying Case. The court will judicially notice the existence, filing dates, and effect of court records under Evid. Code §452(d). However, the court cannot take judicial notice of the truth of disputed facts. GRANTED/DENIED

Evidentiary Objection(s)

With its opposition, Defendants submit 6 objections to Plaintiffs’ supporting evidence.

Defense objections to Nos. 4, 5 & 6 as to Plaintiffs’ use of their own deposition testimonies and own interrogatory responses are SUSTAINED.

The court declines to rule on the remaining objections as not material to the court’s ruling. (CCP § 437c(q).)

Plaintiffs also submit 8 objections to Defendants’ evidence. SUSTAINED with the exception that the court has considered Garcia’s testimony concerning his own communications and his asserted understanding. Any remaining objections need not be decided because they are not material to the court’s ruling. (CCP § 437c(q).)

Issues

Here, Plaintiffs seek adjudication of 2 asserted issues of duty, the 1st cause of action as to liability and the existence of compensable harm, and 10 affirmative defenses.

Issue 1: Existence of Duties Arising from the Attorney-Client Relationship

Defendants admit that the Association retained the Law Offices of Aaron F. Garcia on 10/30/19. (Defendants’ UF p. 2, #1.) Defendants admit that Garcia filed the complaint in the Underlying Case for the Association. (UF p. 2, #5; Garcia Decl., ¶ 5.) Defendants also admit that he remained counsel of record until 8/23/23. (UF p. 2, #3 & p. 15, #22; Garcia Decl., ¶ 5.) The court therefore adjudicates that Defendants owed the Association the fiduciary and professional duties arising from the attorney-client relationship during the representation. (Cal. Rules Prof. Conduct, rules 1.2(a), 1.7, 1.16(d).) The evidence, however, does not establish that Defendants owed a duty to Plaintiff Seavey or Plaintiff Norris. GRANTED IN PART, BUT ONLY AS TO THE ASSOCIATION, NOT SEAVEY OR NORRIS.

Issue 2: The Settlement Authority for the Underlying Case

The client has the ultimate authority to settle or stipulate. (Cal. Rules Prof. Conduct, rule 1.2(a); *Blanton v. Womancare, Inc.* (1985) 38 Cal.3d 396, 404.) Also, Corp. Code §7210 places the “activities and affairs of a corporation, ... and all corporate powers” of a nonprofit corporation “under the ultimate direction of the board.”

In support of their motion, Plaintiffs rely on the Association’s 10/20/19 board minutes, which allegedly reserve the “final decree/decision” to the Board’s approval and the President’s signature (Plaintiffs’ Additional Material Fact (“AMF”), #8). Plaintiffs also rely on the 6/20/23 email from Garcia stating that he “cannot wait any longer” and “have to advise the court the case settled” (AMF #11). Additionally, Plaintiffs testified that no board meeting was held before the President signed the settlement (AMF #19), and that the Defendants admit that no director or officer of the Association signed a settlement document before at least 6/29/23 (AMF #13).

To counter, Defendants rely on Garcia’s declaration that Seavey was “a duly appointed officer of [the Association] and was authorized to act on behalf of and *bind* [the Association]. Mr. Seavey was the only [Association] representative I interacted with during my representation ... and served as the client contact for purposes of developing the litigation strategy and objectives.” (Garcia Decl. ¶ 4.) Garcia further declares that “it was my understanding that Seavey agreed to settle the case for a mutual walkaway,” and the contemporaneous billing entry stating, “Spoke with client. He told me to settle case.” (*Id.*, ¶ 10.) Garcia also submits an email from Seavey on 6/22/20 setting out proposed settlement demands. (UF p. 10 #26.) He declares that during the settlement discussions, “Seavey began to convey to me a desire to obtain remedies or relief appeared to me to be beyond what I viewed as legally obtainable and consistent with the relief sought in the operative complaint.” (Garcia Decl. ¶ 7.)

Here, the competing evidence permits more than one reasonable inference concerning actual/apparent authority and whether any authorization was conditional. These are questions of fact that cannot be resolved on summary adjudication. DENIED

Issue 3: First Cause of Action for Breach of Fiduciary Duty (Liability and Existence of Compensable Harm)

Plaintiffs seek adjudication of *liability* and the existence of *compensable harm*, while reserving the amount of damages for trial. However, that relief is not available. (*Paramount Petroleum Corp. v. Superior Court, supra*, 227 Cal.App.4th at 243.) In *Paramount*, the court held that CCP §437c(f)(1) “makes no provision for a partial summary judgment as to liability. Even summary adjudication may be granted only in limited instances.” (*Id.*) It further held that it is not appropriate to grant summary adjudication if “issues of the calculation of damages apparently remain to be determined.” (*Id.*, [“summary judgment or adjudication improper where amount of damages raises factual issue.”]) Therefore, Plaintiffs may not obtain an adjudication by leaving the amount of damages for later determination.

Alternatively, the record also presents triable issues. As discussed, Plaintiffs’ evidence suggests that Garcia filed the CM-200 notice without approval, while also failed to comply with Local Rule 3401 requirements. By contrast, Defendants’ evidence suggests that Seavey held himself out as the representative of the Association able to bind and authorize a settlement, and that Garcia believed that he had authority to notify the court. (Garcia Decl., ¶¶ 4, 7, 10.) The court may not weigh the evidence or determine the credibility of the evidence, nor to decide on Garcia’s state of mind on this motion. The amount of damages and causation also remain in dispute. DENIED

Issue 4: Seventeenth Affirmative Defense (For failure to State a Claim/general Denial)

Plaintiffs argue that “[t]he Seventeenth Affirmative Defense for failure to state a claim / general denial is without merit because Defendants’ verified response to Form Interrogatory No. 15.1 identifies no facts, witnesses, or documents supporting the defense.”

Here, a contention that the operative pleading “fails to state a claim” is a legal question. It is not a factual defense that must be supported by discovery responses. Also, a general denial is not itself an affirmative defense that can be eliminated through summary adjudication. From the present records, Plaintiffs have not shown that every claim in the complaint is legally sufficient as pled against every defendant and for every plaintiff. Thus, Plaintiffs have not carried their burden as to Issue 4 by simply pointing to the lack of facts or witnesses listed in Defendants’ discovery response. DENIED

Issue 5: Second Affirmative Defense (Litigation Privilege)

The litigation privilege protects attorneys, judges, jurors, witnesses, and other court personnel from tort liability for any “publication or broadcast” made “[i]n any ... judicial proceeding....” (Civ. Code § 47(b).) “Under the usual formulation, the litigation privilege applies to any communication (1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action.” (*Kolar v. Donahue, McIntosh & Hammerton* (2006) 145 Cal.App.4th 1532, 1540, international quotation marks omitted.) However, the privilege does not apply to an expert witness’ trial testimony in a malpractice suit by the expert’s own client. (*Id.*, at 1541.)

Here, Plaintiffs seek to eliminate the defense in its entirety. However, the challenged communications include allegedly false statements in the CM-200 settlement notice, withdrawal papers, and Garcia’s 8/22/23 sworn declaration in the Underlying Case. (FAC, ¶¶ 91–123; Pls.’ RJN Exs. 1, 2, 5, 6.) On this record, one cannot conclude that the defense lacks merit as to every claim or theory presented. DENIED

Issue 6: Fourth Affirmative Defense (In Pari Delicto)

Plaintiffs argue that “[t]he Fourth Affirmative Defense for in pari delicto is without merit because Defendants’ verified response to RFA, Set One No. 3 conclusively admits that the Underlying Case was not a derivative lawsuit.”

However, Defendants’ admission that the Underlying Case was not a derivative action establishes only the matter admitted. (CCP § 2033.410(a).) It does not negate every possible factual basis for in pari delicto. Defendants, in opposition, rely on Seavey’s conduct (by allegedly holding himself out as an authorized decision-maker), on his settlement authorization, and later procurement of the President’s signature on the settlement document. (Defendants’ Additional Material Facts and Supporting Evidence (“AUMF”), p. 65, ##12-19.) Whether that theory would ultimately succeed is a question not to be resolved on this motion. The admission on derivative status does not completely dispose of the defense. DENIED

Issue 7: Fifth Affirmative Defense (Estoppel and Waiver)

Plaintiffs argue that Defendants’ defense for estoppel and waiver is without merit because Defendants’ discovery response admits that no Association representatives signed a settlement document before at least 6/29/23.

Similarly, Defendants' admission in their discovery response does not conclusively negate any alleged oral authorization, waiver, or course of conduct in support of waiver/estoppel. Again, Defendants' billing entry and course-of-dealing evidence create a factual dispute. (Garcia Decl., ¶ 10.) DENIED

Issue 8: Sixth Affirmative Defense (Consent)

Consent to settlement need not be only evidenced by a signed agreement.

Here, Defendants submit evidence of alleged oral consent before filing the CM-200 notice of settlement. (Garcia Decl., ¶ 10.) Plaintiffs also submit competing evidence that the Association's Board reserved final authority and never approved a settlement. (AMF #8). Those competing accounts create a triable issue. DENIED

Issue 9: First & Seventh Affirmative Defenses (Comparative Fault/Unclean Hands)

Defendants argue that the Association and Seavey contributed by presenting Seavey as the authorized decision-maker, allegedly instructing Garcia to settle, obtaining the President's later signature, and eventually changing their positions. (AUMF ##12-19.) Plaintiffs dispute those facts and their significance.

Here, Plaintiffs have not completely negated Defendants' combined defenses of comparative fault and unclean hands. Plaintiffs have not carried their burden. DENIED

Issue 10: Twelfth Affirmative Defense (Res Judicata)

Claim preclusion "applies only to the relitigation of the same cause of action *between the same parties* or those in privity with them." (*DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 824.) Issue preclusion requires "an identical issue ... actually litigated and necessarily decided in the first suit" and "asserted against one who was a party in the first suit or one in privity with that party."

Here, the Underlying Case involved the Association and the softball-organization defendants. However, the present case concerns alleged legal malpractice by the Association's former counsel. The 11/20/23 dismissal did not adjudicate these claims against Defendants. GRANTED

Issue 11: Thirteenth Affirmative Defense (Judgmental Immunity)

The judgmental immunity doctrine protects an attorney's informed judgment on an unsettled legal question when the attorney performs sufficient research and makes an informed judgment. (*Village Nurseries, L.P. v. Greenbaum* (2002) 101 Cal.App.4th 26, 28.) "[I]n determining whether to grant summary judgment based on the judgmental immunity doctrine, it is an attorney who has conducted a thorough, contemporaneous research effort, demonstrated detailed knowledge of legal developments and debate in the field, and made a decision which represented a reasoned exercise of an informed judgment grounded upon a professional evaluation of applicable legal principles, who may be entitled to judgment as a matter of law." (*Id.*, at 37.)

Here, Defendants identify no unsettled question of law, any particular research, or reasoned analysis concerning settlement authority, settlement notice (CM-200), or the relevant local rules. Defendants verified FROG no. 15.1 response identifies no supporting facts, witnesses, or documents; instead, it states that the defense "was pled to avoid waiver."

Defendants' belief that Seavey authorized settlement does not constitute a judgmental immunity defense. Likewise, disagreement about the value of trying the Underlying Case is unable to support a judgmental immunity defense. GRANTED

Issue 12: Fifteenth Affirmative Defense (Ratification)

Ratification is "the voluntary election by a person to adopt in some manner as his own an act which was purportedly done on his behalf by another person, the effect of which, as to some or all persons, is to treat the act as if originally authorized by him." (*Rakestraw v. Rodrigues* (1972) 8 Cal.3d 67, 73.) There is a requirement of knowledge of the material facts essential to voluntary ratification. (*Id.* at 74.)

Here, Defendants argue for ratification based on Norris's later signature and her contractual representation of authority. (AUMF p. 133, #18.) Plaintiffs, on the other hand, rely on the absence of a board meeting, the "losing" of the 6/23/23 trial setting, the pending withdrawal motion, and the absence of any pre-approval and communication between Garcia and Norris. (AUMF ##19-21.) The evidence here permits competing inferences on knowledge, authorization, and the scope of any ratification. These cannot be resolved via summary adjudication. DENIED

Issue 13: Sixteenth Affirmative Defense (Release/Accord and Satisfaction)

Without repeating the above, Plaintiffs rely on the absence of a signed settlement document before at least 06/29/23 and on Defendants' discovery responses that allegedly contain no facts. Defendants, however, place the later signed settlement agreement in evidence. (AUMF p. 158, #18.) The agreement's validity and scope, and the negotiation before and after the signing are factual disputes that the record cannot conclusively resolve. Here, Plaintiffs combine the separate concept of accord and satisfaction with release all under Issue 13 and have not eliminated the combined defense in its entirety. DENIED

Grant Issue 1 in part only as to the Association. Grant as to Issues 10 and 11. Deny as to Issues 2 through 9, Issue 12, and Issue 13.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2403909	PALM DESERT SENIOR SOFTBALL ASSOCIATION VS GARCIA	HEARING ON MOTION FOR SUMMARY JUDGMENT ON 1ST AMENDED COMPLAINT OF PALM DESERT SENIOR SOFTBALL ASSOCIATION

Tentative Ruling: Denied.

Responding party to provide notice pursuant to CCP 1019.5.

This is an action for legal malpractice. Plaintiffs Palm Desert Senior Softball Association (the "Association"), James W. Seavey, and Verna Norris (collectively, "Plaintiffs"), alleges that the Association hired Defendants Aaron F. Garcia and the Law Offices of Aaron F. Garcia (collectively, "Defendants") to represent them in the underlying case, *Palm Desert Senior Softball Association v. Senior Softball of Palm Desert*, case no. PSC2000536 (the "Underlying Case"). Plaintiff Seavey is the Secretary/Treasurer of the Association. Plaintiff Norris is Seavey's wife and served as the President of the Association.

Plaintiffs allege that trial was set for 6/23/23 and that Garcia failed to comply with the Local Rule 3401 pretrial steps. On 6/20/23, Garcia allegedly emailed Seavey: "I cannot wait any longer. I

have to advise the court the case settled. I am going to put the date of settlement as of today.” Garcia then filed a CM-200 notice of settlement on 6/21/23 with the “Unconditional Settlement of Entire Case” box marked, and dated the same for 6/20/23. Plaintiffs allege that no director or officer of the Association signed any settlement documentation before at least 6/29/23. Plaintiffs further allege that the 10/20/19 board minutes reserved any “final decree/decision” to the board’s approval and the President’s signature. After the trial date passed, Norris signed a settlement agreement on 6/30/23. Plaintiffs however argue that it was obtained only after Garcia had threatened to withdraw as counsel, without a board meeting discussion on the settlement, and after losing the 6/23/23 trial setting. On 11/20/23, the court dismissed the Underlying Case with prejudice. The court order recites: “Notice of Settlement filed. No compliance with Local Rule 3401 prior to trial.”

The operative First Amended Complaint (“FAC”), filed 7/31/24, asserts: (1) breach of fiduciary duties by attorney; (2) frauds, misrepresentations, and deceptions; (3) extrinsic fraud on the court; (4) attorney’s professional negligence; and (5) money had and received. Trial is set for 10/2/26.

Defendant’s Motion for Summary Judgment

Defendants move for summary judgment. Defendants argue that Garcia represented the Association alone, not Seavey and Norris, so he owed no duty to the individual plaintiffs. Defendants argue that Plaintiffs cannot show that but for Defendants’ conduct, they would have achieved a better result in the Underlying Case. Defendants argue that Plaintiff later signed an enforceable settlement agreement without fraud/duress. Defendants further argue that Plaintiffs’ incurrence of fees and mitigation expenses are not compensable damages. Defendants contend that fraud and money-had-and-received claims fail. Defendants also assert that the litigation privilege bars the extrinsic fraud claim.

In opposition, Plaintiffs argue that Defendants’ separate statement omits references to the 6/21/23 CM-200, the non-compliance on Local Rule 3401, the 10/20/19 board minutes reserving settlement authority to the board, the 6/20/23 email from Garcia, and the stated reasons on the dismissal order. Plaintiffs assert that disputed evidence exists concerning authority, ratification, causation, and damages. Procedurally, Plaintiffs argue that the notice of motion asks only summary judgment and does not seek summary adjudication in the alternative. (CRC rule 3.1350(b).)

In reply, Defendants argue that Plaintiff’s execution of the settlement agreement caused the dismissal and severed causation. They argue that the fraud claim fails as it lacks allegations regarding reliance and damages. They argue that the money-had-and-received claim also fails as the Association does not claim it paid more than the services were worth.

Summary Adjudication

“A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, [or] that there is no merit to a claim for damages. . .” (CCP § 437c(f)(1).) “A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (*Ibid.*) A plaintiff moving for summary adjudication bears the initial burden to prove each element of a cause of action or to show that an affirmative defense has no merit. (*Id.*, §437c(p)(1).) A moving defendant must show that one or more elements of each challenged cause of action cannot be established or that a complete defense exists. (*Id.*, §437c(p)(2).)

“Any doubts as to the propriety of granting the motion are resolved in favor of the party opposing the motion.” (*American Airlines v. Sheppard, Mullin, Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1048.) It is improper for the court to weigh the evidence or determine the credibility on a motion for summary judgment or adjudication. (*Binder v. Aetna Life Insurance Co.* (1999) 75 Cal.App.4th 832, 840.) “Instead, the evidence most favorable to plaintiff must be accepted as true and conflicting evidence must be disregarded. The court must give ‘to the plaintiff[s] evidence all the value to which it is legally entitled, ... indulging every legitimate inference which may be drawn from the evidence in plaintiff[s] favor’ ” (*Stanley v. Richmond* (1995) 35 Cal.App.4th 1070, 1086.)

An issue of duty may be summarily adjudicated without disposing of the entire cause of action. (*Linden Partners v. Wilshire Linden Associates* (1998) 62 Cal.App.4th 508, 522.) By contrast, a court may not enter partial summary adjudication on the issue of liability, leaving damages to be tried at a later time. (*Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 243, [a decision on the issue of liability does not result in a judgment until the issue of damages is resolved.]

Procedural Issue(s)

Defendants’ notice of motion requests summary judgment only. It does not identify a cause of action, affirmative defense, claim for damages, or issue of duty for alternative summary adjudication. The separate statement also does not repeat any such issue verbatim and is in violation of Cal. R. Ct. 3.1350. A separate statement must identify each material fact in respect to *each* cause of action or issue. (Cal. R. Ct. 3.1350(d)(1)(B).) It should only include material facts and not facts that are not relevant to the disposition of the motion. (Cal. R. Ct. 3.1350(d)(2).) “The separate statement serves two important functions in a summary judgment proceeding: it notifies the parties which material facts are at issue, and it provides a convenient and expeditious vehicle permitting the trial court to hone in on the truly disputed facts.” (*Collins v. Hertz Corp.* (2006) 144 Cal.App.4th 64, 74.) The court has discretion in denying summary judgment where the party fails to comply with Rule 3.1350. (*Truong v. Glasser* (2009) 181 Cal.App.4th 102, 118.)

Request for Judicial Notice (RJN)

With their reply, Defendants request judicial notice of the Association’s 7/31/26 Statement of Information. Since Defendants first submitted it with their reply, the Court declines to consider it as new evidence on disputed issues of authority, settlement, causation, or damages. DENIED

Evidentiary Objection(s)

Defendants submit 8 objections to Plaintiffs’ supporting evidence. Objection no. 1 to the Seavey Decl., ¶ 3. Seavey states his role and personal participation. OVERRULED Objection no. 4 (¶11) as the timing of Seavey’s knowledge is within his personal knowledge. OVERRULED

Objection no. 2 (¶4) to the extent the testimony offers a conclusion concerning corporate authority SUSTAINED. Objection no. 3 (¶9) as to the conclusion that Seavey lacked authority SUSTAINED. Objection no. 5 (¶15) as argumentative. SUSTAINED As to the Gallivan declaration, sustained as to all of Defendants’ objections to Plaintiffs’ use of their own deposition testimonies to the extent the excerpts are offered for the truth of the deponents’ out-of-court statements.

As to all other remaining objections, the court declines to rule on them as not material to the court’s ruling. (CCP § 437c(q).)

Plaintiffs submit 4 objections to Defendant’s evidence.

Plaintiffs' objections nos. 1 & 2 to the Garcia Decl. ¶¶4 and ¶¶10 SUSTAINED only insofar as they state conclusions that Seavey could bind the Association, or that the court rules required the CM-200 filing; otherwise, the objections are overruled as to Garcia's personal understanding and communications.

Objection no. 3 to the use of the settlement agreement's authority clause as proof of actual authority. SUSTAINED

The Court declines to rule on the remaining objection as immaterial to the court's ruling. (CCP § 437c(q).)

Duty & Attorney-Client Relationship

Defendants concede that the Association was their client. (Garcia Decl. ¶¶ 3-4.) Their argument that Seavey and Norris were not individually represented does not eliminate the Association's claims. The record also creates a factual dispute as to whether Garcia's conduct manifested an individual attorney-client relationship with Seavey.

Here, the record reflects that Garcia testified at deposition that the fee agreement was between Garcia and Seavey "on behalf of" the Association. (AMF #3, quoting Garcia Depo. 67:1-13.) Garcia's law firm addressed its invoices "Bill To: James Searly, 1043 East Suntan Lane, Palm Springs, California 92264." (AMF #4.) Further, the original motion to be relieved checked the box identifying the client as an individual. (Plaintiff's RJN Ex. 5, p. 1, item #4.) Defendants offer competing evidence that the Association alone was the client. (Garcia Decl. ¶ 4.) Whether Norris separately became a client is less supported. However, in any event, resolving that question would not dispose of the action. Also, the fraud claims do not necessarily require an attorney-client relationship.

Ratification, Causation

Defendants have also not established conclusively that the settlement was authorized before the CM-200 or validly ratified afterward. Garcia's declaration and billing entry suggest that Seavey orally authorized settlement (Garcia Decl. ¶ 10), but Plaintiffs dispute and points to competing evidence, such as Seavey's own declaration stating he "did not authorize [Garcia] to file a notice of settlement, and I had no authority to authorize a final resolution of the case in any event." (Seavey Decl. ¶ 9) Seavey also points to the lack of a director/officer signing the settlement before the CM-200 filing. (*Id.*, ¶ 10.) As discussed, the later signature does not conclusively establish informed and voluntary ratification. (*Rakestraw v. Rodrigues, supra*, 8 Cal.3d at 73-75.)

Here, the evidence still shows a dispute as to, for example, what the President knew before signing, whether she signed the settlement under pressure (by the pending withdrawal motion), whether any board limitation on settlement approval had been communicated, and whether the President's 6/30 signature ratified the earlier CM-200 filing, etc. These disputes require credibility determinations that the court could not do on this motion. Further, Defendants' later-settlement theory also does not negate the Local Rule 3401 non-compliance theory. Factual disputes still exist.

Compensable Harm

With their opposition, Plaintiffs rely on two categories of compensable harm: (1) \$44,441.41 in attorney fees and costs that the Association paid Defendants during the representation (AMF

#22); and (2) \$21,642.09 in corrective attorney's fees and costs paid within the Underlying Case after Garcia's withdrawal (AMF #23). (Seavey Decl. ¶¶ 19-20; Gallivan Decl. ¶¶ 2-6.)

Here, the \$44,441.41 fees paid to Garcia for his services are not tort damages. Fees paid to a second attorney to correct errors committed by the first attorney are recoverable only if a plaintiff can prove that they "paid more than the value of the legal services he received." (*Orrick Herrington & Sutcliffe LLP v. Superior Court* (2003) 107 Cal.App.4th 1052, 1060.) "If he can prove he did not receive value for his payment, he may recover damages 'to the extent' the fees exceed the value of the services received." (*Id.*)

Here, attorney Gallivan (the substitute counsel) identifies *some* corrective work performed after his substitution into the case. (see, Gallivan Decl. ¶ 3.) This creates a triable issue as to whether *some* compensable harm exists. As such, Defendants have not negated all compensable harm as a matter of law.

Fraud

As to the fraud claim, Defendants did not eliminate every fraud theory. Plaintiffs produce some e-mail evidence showing that Garcia allegedly told Seavey that the Underlying Case was "a derivative lawsuit" and that board approval was unnecessary. (Gallivan Decl., ¶ 15.) However, the record also shows that Defendants later admitted in a verified response that the Underlying Case was *not* derivative. (Plaintiff's Additional Material Fact ("AMF"), p. 25, #18.) As such, the evidence here presents triable issues concerning a fraud/misrepresentation theory. Plaintiffs also raise a fraud theory in the execution of the fee agreement. However, in any event, Defendants seek summary judgment on the entire action and because triable issues remain as to at least the settlement-related fraud theory, Defendants have not shown entitlement to summary judgment on the entire action.

Money Had and Received

Defendants argue that this claim cannot support return of all fees because they performed legal services and consideration did not totally fail, citing *Brown v. Grimes* (2011) 192 Cal.App.4th 265, 282. Plaintiffs respond that the \$7,500 initial retainer required by the fee agreement was funded by a "personal loan" from Seavey and Norris to the Association. (Seavey Decl., ¶ 6.) Plaintiffs also rely on *Fair v. Bakhtiari* (2011) 195 Cal.App.4th 1135, 1152 to argue that intentional fiduciary misconduct may support a forfeiture of that compensation. Defendants argue that Seavey and Norris should go after the Association in case of non-recovery of the personal loan payment.

Here, the court need not reach the parties' argument and decide whether the 5th cause of action independently survives, as Defendants did *not* notice alternative summary adjudication, and that the other causes of action present triable issues. DENIED

4.

CASE #	CASE NAME	HEARING NAME
CVPS2500325	TORRES ALDAMA VS INDIAN SPRINGS MOBILEHOME PARK HOMEOWNERS' ASSOCIATION	MOTION FOR PROTECTIVE ORDER BY LINDA HARROD, BESSIRE & CASENHISER, INC.

Tentative Ruling: Denied.

Responding party to provide notice pursuant to CCP 1019.5.

This is a breach of contract action. On January 10, 2025, Plaintiff Francisco Javier Torres Aldama ("Plaintiff") filed a Complaint against Defendants Indian Springs Mobilehome Park Homeowners' Association (the "HOA"), Bessire & Casenhiser, Inc. ("B&C"), and Linda Harrod ("Harrod") (together "Defendants") for: (1) breach of contract; (2) breach of oral contract; (3) intentional misrepresentations; and (4) intentional interference with contractual relations.

On April 2, 2026, Plaintiff filed the operative Third Amended Complaint ("TAC") asserting causes of action for: (1) breach of contract; (2) breach of oral contract; (3) quantum meruit; (4) unjust enrichment; and (5) intentional misrepresentation. In the TAC, Plaintiff alleges that he provided landscaping services to the HOA, working under an annual contract primarily negotiated through Harrod, who managed the property on behalf of B&C. In 2023, Harrod advised Plaintiff that he would be awarded a substantial new landscaping project, which resulted in him incurring over \$100,000 in expenses to support this new work. However, no project materialized, and he simply got a one-year contract to continue the same work he had been doing. In April 2024, Harrod solicited a competing bid from another landscaping business and shortly thereafter, she issued Plaintiff a thirty-day termination letter. Plaintiff offered to match the other business' contract price, but Harrod refused.

On June 30, 2026, Plaintiff served Harrod with a notice of her deposition to take place in person on July 20, 2026. Harrod asked to reschedule the deposition and also requested a remote deposition. On July 14, 2026, Plaintiff served a second amended notice of deposition, noticing Harrod for an in-person deposition on August 12, 2026.

Harrod now moves for a protective order allowing a remote deposition with conditions on the grounds that there is good cause for such an order because she has medical conditions, including a rapid/irregular heartbeat when she is under stress; persistent back and hip pain; and an urgent need to use the bathroom under stress, which make it difficult for her to understand and accurately answer questions. She argues that her deposition experience in a prior case, *Elam v. Bessire & Casenhiser*, CVPS2202195 (the "Elam Action") corroborates her concerns, in that when she was deposed there, she experienced symptoms, paramedics were called, and she received hospital care.

In opposition, Plaintiff argues that Harrod's arguments in this motion echo her arguments in seeking a remote deposition in the Elam Action, but without medical records or doctor testimony. He argues that even with medical evidence, the court in the Elam Action denied Harrod's request; accommodations were given for an in-person deposition (the same accommodations Plaintiff offered here); and her deposition went forward without incident. He further argues that Harrod is a percipient witness and a defendant; California's liberal discovery standard favors in person depositions, which is what Plaintiff noticed; and Harrod fails to show good cause for the relief sought. Finally, Plaintiff argues that Harrod did not adequately meet and confer before filing this motion.

In reply, Harrod argues that the declaration she submitted with her motion shows she met and conferred before filing the motion; the Elam filings do not prove that Harrod does not need the accommodations sought; both sides recognize that some accommodations are necessary, it is just a matter of what; and there is not in-person deposition requirement.

Request for Judicial Notice (RJN)

Plaintiff asks the Court to take judicial notice of certain filings from the Elam Action, and Harrod does not oppose the request. GRANTED (Evid. Code § 452(d).)

Motion to Compel In Person Deposition

“Before, during, or after a deposition, any party, any deponent, or any other affected natural person or organization may promptly move for a protective order.” (C.C.P. § 2025.420(a).) “The court, for good cause shown, may make any order that justice requires to protect any party, deponent, or any other affected natural person or organization from unwarranted annoyance, embarrassment, or oppression, or undue burden and expense.” (*Id.* at § 2025.420(b).) The moving party has the burden of establishing good cause for a protective order. (*Nativi v. Deutsche Bank National Trust Co.*) (2014) 223Cal.App.4th 261, 318; *Fairmont Ins. Co. v. Sup. Ct.* (2000) 22 Cal.4th 245, 255.) “[B]road allegations of harm, unsubstantiated by specific examples or articulated reasoning” are insufficient. (*Nativi, supra*, 223Cal.App.4th at 318 [internal quotation marks and quotation omitted].) “The concept of good cause . . . calls for a factual exposition of a reasonable ground for the sought order.” (*Tanguilig v. Valdez* (2019) 36 Cal.App.5th 514, 528.)

The issuance and formulation of protective orders are to a large extent discretionary, and ruling on motions for protective orders will not be disturbed absent an abuse of discretion. (*Nativi, supra*, 223Cal.App.4th at 316-317.) The trial court considering a protective order is in the best position to weigh fairly the competing needs and interests of parties affected by discovery. (*Id.* at 317.)

Here, Plaintiff noticed Harrod’s deposition to take place in person, while Harrod seeks a remote deposition due to her health conditions.

Pursuant to C.C.P. § 2025.250, subdivision (a), the deposition of a natural person “shall be taken at a place that is, at the option of the party giving notice of the deposition, either within 75 miles of the deponent’s residence, or within the county where the action is pending and within 150 miles of the deponent’s residence.” (*Ibid.* [emphasis added].) Thus, the statute grants the noticing party, here Plaintiff, the right to designate an in-person deposition location within the permissible geographic boundaries. There is no dispute that the location designated by Plaintiff is within 75 miles of Harrod’s residence, with Plaintiff stating (and Harrod not disputing) that it is within 20 miles. Thus, Harrod’s in person deposition was properly noticed.

C.C.P. § 2025.310 permits a deponent or deposing party to elect remote means for certain aspects of a deposition; however, it does not require such remote attendance. The permissive language of the statutes makes clear that while remote options exist, they do not override Plaintiff’s statutory right to insist upon an in-person deposition, particularly where credibility assessments and thorough examination are critical. Furthermore, California Rules of Court (“CRC”), rule 3.1010(c) provides that “[a] deponent must appear and participate in a deposition as required by statute or as agreed to by the parties.”

In this case, Harrod has not been excused from appearing in person, nor is there any stipulation or order authorizing a remote deposition in lieu of an in-person appearance. Additionally, it has been noted that “one operating assumption of our system of justice has long been that the opportunity to observe witnesses upon the stand and the manner in which they gave their testimony . . . in no small degree aid[s] in the determination of the truth and correctness of testimony.” (*Rycz v. Superior Court* (2022) 81 Cal.App.5th 824, 841.) Accordingly, unless she can establish that ordering a remote deposition will prevent her from unwarranted annoyance, embarrassment, or oppression, or undue burden and expense [C.C.P. § 2025.420(b)], she must comply with Plaintiff’s notice, which requires an in-person deposition.

Harrod presents evidence that she has various health conditions, including an irregular heartbeat, a heart artery condition, osteoporosis, fibromyalgia, arthritis, a ruptured disc in my lower back, a condition that inflames my colon, and performance anxiety; when she is under stress, she experiences an irregular heartbeat and shortness of breath and has to stop doing whatever she

is doing until it passes; she has persistent hip and back pain and needs to move around every 30 minutes; she tires easily and cannot drive for long periods; she experiences abdominal pain and has urgent bathroom needs, particularly when she is under stress; when she is watched and questioned, she experiences a racing heart and changes in breathing that affect her ability to understand and answer questions accurately; and her doctors have warned her to avoid stress. (Decl. of Linda Harrod ["Harrod Decl."] at ¶¶ 4, 8-14.) Based on this, she asks the Court to issue a protective order that her deposition be taken remotely from a private location with the following conditions: she be visible on camera at all times that she is on the record; everyone present at her location is identified on the record; she cannot communicate with anyone or review any documents or materials other than a marked exhibit while a question is pending; she will be questioned for 30 minutes, followed by a 20 minute break, with the breaks not being counted against the time limit set forth in C.C.P. § 2025.290; and she will be given additional breaks if necessary. (See, Notice of Motion.)

In response, Plaintiff argues that it noticed, and is entitled to take Harrod's deposition in person, and agrees to provide the following accommodations (the same that were provided in the Elam Action): the attendance of a registered nurse to keep Harrod's vital signs, with Harrod paying for this cost; 10 minute breaks after every 30 minutes of testimony; and suspending the deposition for 30 minutes if Harrod experiences shortness of breath, faintness, or high or low blood pressure, continuing only once the symptoms decrease. (Decl. of Karen S. Spicker ["Spicker Decl."] at ¶¶ 3, 5, 12-15, Exs. 1-2.)

Harrod presents no evidence showing that her health conditions and related symptoms cannot be adequately addressed by the accommodations proposed by Plaintiff. The accommodations offered by Plaintiff, at their own cost, are not small measures, but in this case warranted and dispositive. Having a registered nurse attend the deposition and keep track of Harrod's vital signs, with the understanding that if she experiences shortness of breath or high/low blood pressure the deposition will be temporarily suspended until the symptoms are reduced, addresses Harrod's concerns about the stress of questioning causing a racing heart and/or changes in breathing [Harrod Decl. at ¶¶ 8, 12-13]. A 10-minute break after every 30 minutes of testimony should be sufficient to allow Plaintiff to move around and reduce any pain from sitting while testifying for 30 minutes [Harrod Decl. at ¶ 9], without causing too much disruption and delay in the deposition. Harrod's need for a bathroom and concerns about "being watched and questioned" [Harrod Decl. at ¶¶ 11-12] will be the same whether she is in-person or remote, so they do not provide sufficient good cause for a remote deposition. Additionally, as the deposition location is 20 minutes from her home, the fact that Harrod "tires easily" and cannot drive for long periods" [Harrod Decl. at ¶ 10] also do not present good cause for a remote deposition.

Accordingly, the motion is denied based on the express terms of the accommodations that will be provided and adherence to all of them shall be strict.

5.

CASE #	CASE NAME	HEARING NAME
CVPS2503717	ARIAS VS MURO	MOTION TO COMPEL COMPLIANCE AND FURTHER RESPONSES TO REQUESTS FOR PRODUCTION TO DEFENDANT MURO, SETS ONE AND TWO, AND REQUEST FOR SANCTIONS BY OSCAR ARIAS

Tentative Ruling: Hearing continued to December 3rd 2026 at 8:30 a.m. pending current stay as to individual Defendant Emilio Muro that went into effect on 8/21/16.

No further briefing will be permitted.

6.

CASE #	CASE NAME	HEARING NAME
CVPS2503717	ARIAS VS MURO	MOTION TO COMPEL COMPLIANCE AND FURTHER RESPONSES TO REQUESTS FOR PRODUCTION TO DEFENDANT MURO, SETS ONE AND TWO, AND REQUEST FOR SANCTIONS BY OSCAR ARIAS

Tentative Ruling: Granted.

The entire injunction is prohibitory in nature as it seeks to maintain the status quo regarding the operation of Dental Corp. Plaintiff shows a probability of success on the merits and the balancing of hardships favors Plaintiff. Muro Dental is required to return patients, opportunities, and assets belonging to Dental Corp.

Moving party to provide notice pursuant to CCP 1019.5.

This is a business dispute. On 5/16/2025, Oscar Arias ("Plaintiff") filed a complaint against Emilio Muor ("Muro"), Monica Capel ("Capel"), and Muro Dental Corporation ("Muro Dental") asserting the following causes of action: (1) breach of contract; (2) breach of fiduciary duty; (3) conversion; (4) fraudulent transfers; (5) violations of California Corporations Code § 1601 and 1602; (6) constructive trust/accounting; and (7) dissolution of corporation.

The complaint states that on 11/25/2013, Plaintiff and Muro established a dental practice by incorporating Arias Muro Dental Corporation (a nominal defendant here, "Dental Corp."). (Complaint, ¶ 15.) Plaintiff and Muro agreed to share equally in all profits, management, and decision making, being the sole shareholders with each owning 50% of Dental Corp. (*Id.* at ¶ 16.) The complaint further alleges that on 10/24/2024, Muro filed a revised statement of information for Dental Corp removing Plaintiff from the roles previously listed, with Capel replacing Plaintiff as Secretary and Plaintiff being removed from the board. (*Id.* at ¶ 19.) Generally, the complaint goes on to allege that Muro and Capel have taken over Dental Corp, transferring all assets and clients to Muro's own corporation, Muro Dental.

On 7/21/2026, the court granted Plaintiff's unopposed ex parte seeking appointment of a receiver, issuing a temporary restraining order ("TRO"), and setting a hearing to show cause re: confirmation of the receiver appointment. The court set that hearing for 8/6/2026.

On 8/5/2026, Plaintiff filed another ex parte seeking a TRO and a hearing to show cause re: preliminary injunction.

In the instant motion, the court granted the ex parte motion for the TRO and set the OSC re: preliminary injunction for 8/31/26. The docket reflects the court vacated the OSC re: confirmation of receiver appointment, giving the reason, "Preliminary Injunction Expired." A notice of ruling filed by Plaintiff on 8/6/2026 notes that there being no opposition, the court confirmed the appointment of the receiver on the terms of the 7/21/2026 order.

Now, Plaintiff moves for a preliminary injunction prohibiting Muro Dental from the following: (1) making payments to Muro Dental or any third party without Receiver Stephen J. Donnell of FedReceiver, Inc.'s (the "Receiver") express approval; (2) transferring and/or disposing of any property or assets owned by Dental Corp, other than in the ordinary course of business consistent

with past practice; (3) disposing of or distributing any assets, profits, income, revenue, or financial gain of any kind received in connection with the operations of the Company to its shareholders or any person related to any shareholder in whatever capacity; (4) using corporate funds for purposes unrelated to Dental Corp's business operations; and (6) making any material changes to Dental Corp or its business and operations. It also seeks the following: (1) return to Dental Corp. any patients, opportunities, and other assets belonging to Dental Corp. that were transferred to Muro Dental; (2) deliver to the Receiver any and all books, records, documents and written materials relating to the ownership, operation, management, and financial affairs of Dental Corp and Muro Dental, and continue to do so upon request from the Receiver; and (3) cooperate with the Receiver.

The only relevant opposition on file states that it is Muro Dental's opposition to "Plaintiff's receiver confirmation." The opposition states Muro Dental is not opposed to the appointment of a receiver, but seeks clarification of the court's order on actions that are "prohibited as well as mandatory." Specifically, Muro Dental wants to know whether it can operate independently with its own patients that were never seen by, nor treated by Dental Corp.

In reply, Plaintiff states the Receiver's appointment was confirmed by the court on 8/6/2026 and states that there is no meaningful difference between Muro Dental and Dental Corp.

Requests for Judicial Notice (RJN)

Plaintiff seeks judicial notice of: (1) 10/24/2024 Statement of Information for Dental Corp; and (2) the court's 7/21/2026 order. GRANTED (Evid. Code § 452(c) and (d).)

Preliminary Injunction

The purpose of a preliminary injunction is to preserve the status quo pending a determination on the merits. (*Jamison v. Department of Transportation* (2016) 4 Cal.App.5th 356, 361.) A motion for preliminary injunction must show (1) a probability of prevailing on the merits, and (2) that the balance of hardships favors issuance of the injunction. (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1463.) However, "[t]he applicant must demonstrate a real threat of immediate and irreparable injury [citation] due to the inadequacy of legal remedies." (*Triple A. Machine Shop, Inc. v. State of California* (1989) 213 Cal.App.3d 131, 138.)

Here there is a clear threat of immediate and irreparable injury in the form of Muro Dental's continued use of assets and resources that are alleged to belong to Plaintiff, at the expense of Plaintiff and Dental Corp's profit margins.

Prohibitory Versus Mandatory

As an initial point, injunctions may be classified as either "prohibitory" or "mandatory." This classification affects whether the injunction, if granted, is automatically stayed during appeal. (*Daly v. San Bernardino County Bd. of Supervisors* (2021) 11 Cal.5th 1030, 1035; *URS Corp. v. Atkinson/Walsh Joint Venture* (2017) 15 Cal.App.5th 872, 884.) "[A]n injunction is prohibitory if it requires a person to refrain from a particular act and mandatory if it compels performance of an affirmative act that changes the position of the parties." (*Davenport v. Blue Cross of Calif.* (1997) 52 Cal.App.4th 435, 446-448.) Mandatory preliminary injunctions are rarely granted: "The granting of a mandatory injunction pending trial is not permitted except in extreme cases where the right thereto is clearly established." (*Teachers Ins. & Annuity Ass'n v. Furlotti* (1999) 70 Cal.App.4th 1487, 1493 [internal quotes omitted]; *Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc.* (2016) 6 Cal.App.5th 1178, 1184; *Brown v. Pacifica Found., Inc.* (2019) 34 Cal.App.5th 915, 925.)

The substance of an injunction, and not its form, controls whether enforcement is stayed on appeal and thus, an injunction “prohibiting” certain conduct will be construed as a mandatory injunction if it requires affirmative action that changes the status quo. (*Agricultural Labor Relations Bd. v. Sup.Ct. (Sam Andrews’ Sons)* (1983) 149 Cal.App.3d 709, 713 [injunction restraining employer from “refusing to reinstate” certain workers was actually mandatory injunction compelling employer to rehire, thus automatically stayed on appeal]; *Davenport v. Blue Cross of Calif.* (1997) 52 Cal.App.4th 435, 446 [order “prohibiting” Blue Cross from “denying, refusing or discontinuing” specified medical benefits was actually mandatory injunction compelling payment].)

Incidental mandatory provisions of an essentially prohibitory injunction do not render the injunction wholly mandatory. (*Jaynes v. Weickman* (1921) 51 Cal.App. 696, 700-702.) The character of prohibitory injunctive relief is not changed to mandatory in nature merely because it incidentally requires performance of an affirmative act. (*United Railroads v. Superior Court* (1916) 172 Cal. 80, 88-89.)

The first five requests, referred to as the “Prohibited Acts” in the TRO order, are clearly prohibitory in nature, even though they do require performance of affirmative acts. While the Prohibit Acts require Muro Dental to cease operation as a standalone entity on any patients that were previously Dental Corp patients and using any assets that also were previously Dental Corps’, this is merely returning to the status quo of the original partnership and agreement. Plaintiff provides evidence of this original agreement via the Declaration of Oscar Arias. Muro Dental provides no opposing or conflicting evidence.

This leaves the three requests referred to as the “Mandatory Acts” in the TRO order: (1) return to Dental Corp. any patients, opportunities, and other assets belonging to Dental Corp. that were transferred to Muro Dental; (2) deliver to the Receiver any and all books, records, documents and written materials relating to the ownership, operation, management, and financial affairs of Dental Corp and Muro Dental, and continue to do so upon request from the Receiver; and (3) cooperate with the Receiver. The Mandatory Acts are the subject of Muro Dental’s limited opposition. Muro Dental argues that this requires Muro Dental to effectively cease operations as an independent entity and that the Receiver has taken the position that Muro Dental must run all business through him, even patients Muro Dental asserts were never treated by Dental Corp.

The other two “Mandatory Acts” are already within the scope of the Receiver’s duties and authority as granted on 7/21/2026 and confirmed by the court on 8/6/2026.

Therefore, while Plaintiff categorized the proposed preliminary injunction as having “Prohibited Acts” and “Mandatory Acts,” the entire injunction is prohibitory in nature because it is clear that the only patients, opportunities, and asserts to be returned to Dental Corp and therefore under the purview of the Receiver, are those that belonged to Dental Corp. in the first place.

Probability of Prevailing on the Merits and Balance of Hardships

A preliminary injunction must not issue unless it is “reasonably probable that the moving party will prevail on the merits.” (*San Francisco Newspaper Printing Co., Inc. v. Sup.Ct. (Miller)* (1985) 170 Cal.App.3d 438, 442; see *Costa Mesa City Employees’ Ass’n v. City of Costa Mesa* (2012) 209 Cal.App.4th 298, 309 [no injunction may issue unless there is at least “some possibility” of success].)

Here, Plaintiff shows a probability of success on the breach of contract and breach of fiduciary duty claims. Plaintiff states he and Muro agreed to be the sole shareholders and board members of Dental Corp. (Declaration of Oscar Arias, ¶ 2.) Plaintiff states he did not approve any payments

from Dental Corp to Muro and that Muro and Muro Dental have been diverting revenue while operating at the same premises, using the same assets, and effectively operating Dental Corp through Muro Dental in violation of the contract and fiduciary duty. (*Id.* at ¶¶ 3-8.) The Statement of Information filed on 10/24/2024 shows Plaintiff had been removed from the list of officers, which Plaintiff states was without his knowledge or approval. (*Id.* at ¶ 12; see also, RJN Exhibit A.) Muro Dental provides no evidence in opposition.

Regarding the balancing of hardships, the court must consider whether Plaintiff is likely to suffer greater injury from denial of the injunction than defendants are likely to suffer if it is granted. (*Shoemaker v. County of Los Angeles* (1995) 37 Cal.App.4th 618, 633.) Given the order is structured to still allow Muro Dental to operate so long as it does so independently of any patients and assets that previously belonged to Dental Corp, Plaintiff is likely to suffer greater injury from a denial of the injunction. Muro Dental offers no argument regarding the hardship it will suffer in the event the injunction is granted.